

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 1 of 7

SECTION 1 – FORM OF AGREEMENT

THIS CONTRACT IS MADE AND ENTERED INTO ON THE _____ (hereinafter referred to as SIGNING DATE), IN TEHRAN BY AND BETWEEN:

DANA PETRO SOHRAB, with Registration No. 14560, National ID 14011129048, Economic Code 14011129048 and its registered office located at Unit No.60, Ground Floor, Bazar-e-Sharestan, Morvarid Blvd., Shahrak-e-Sadaf, Kish Island, Postal Code 7941737945, Iran and Tehran office located at No. 63, Mana Building, Yazdan Panah St., Nelson Mandela Blvd. (Jordan), Tehran, Postal Code: 1968835311, Iran (hereinafter called as "COMPANY") with its representatives Mr. Mehdi Mansoori Habibabadi as Managing Director and Chairman of the Board, and Mr. Seyed Mohsen Mousavi as Vice Chairman of the Board,

And _____, with Registration No. _____, National ID _____ Economic Code _____ and its registered office at _____, Postal Code _____ Iran, hereinafter called "CONTRACTOR" with its representatives Mr. _____ as **job title** and Mr. _____ as **job title**.

COMPANY and CONTRACTOR are hereinafter referred to either individually as "PARTY" or collectively as "PARTIES",

WHEREAS:

- A) The COMPANY is executing a service contract for the National Iranian Oil Company (NIOC) for the development and production operations of Sohrab Oil Field (hereinafter referred to as "PROJECT") located on the border between Iran and Iraq. COMPANY wishes CONTRACTOR to undertake the provision of Wellpad Construction (3,4,8) as described in Article 1 and detailed in Section 4 – Scope of WORK, hereinafter called the "WORK".
- B) COMPANY intends to engage the services of CONTRACTOR as a reliable and experienced company in the field of WORK to fulfil a part of the obligations of the PROJECT, and
- C) CONTRACTOR warrants that it has and shall at all times have all necessary and required skills and expertise, resources, experience, qualifications and capability at its disposal as are required to perform its obligations under the CONTRACT and possesses the necessary financial ability and is capable to perform the WORK and render such services in accordance with the terms of the CONTRACT.
- D) CONTRACTOR has visited WORKSITE, wholly and partly, and it acknowledges that is fully familiar with the nature of the field, land, local people, climate conditions, accesses to site, work requirements, safety and environmental considerations and any other element of whatsoever nature that may affect the rates and prices offered by CONTRACTOR and accepted by COMPANY and in this regard CONTRACTOR waives any and all rights to any claims and excuses whether for the time being or in the future in this regard.
- E) CONTRACTOR declares that it has examined all of the document and appendices of CONTRACT and has obtained the full understanding and knowledge regarding aforesaid issues.

Now, therefore, the PARTIES hereto agree as follows:

In this Form of Agreement, all capitalised words and expressions shall have the meanings assigned to them in this Form of Agreement or in Section 2 - Terms and Conditions of CONTRACT.

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 2 of 7

ARTICLE 1 - SUBJECT OF THE CONTRACT

The Subject of the CONTRACT is the provision of Wellpad Construction (3,4,8) for Sohrab Oilfield Development Project.

CONTRACTOR shall perform and complete the WORK in accordance with the terms and conditions of the CONTRACT and COMPANY shall pay CONTRACTOR as per Section 3 – Schedule of Rates and Prices as full compensation for such CONTRACTOR's performance and completion of the WORK.

ARTICLE 2 - CONTRACT DOCUMENTS

The following Sections, hereinafter collectively referred to as the CONTRACT, shall be read as one document and in the event of ambiguity or contradiction between the Sections, shall be given precedence in the order listed below:

- | | | |
|-----------|---|---------------------------------------|
| Section 1 | - | Form of Agreement |
| Section 2 | - | Terms and Conditions of CONTRACT |
| Section 9 | - | TENDER Bulletins |
| Section 3 | - | Schedule of Rates and Price |
| Section 4 | - | Scope of WORK |
| Section 8 | - | Technical Specifications and Drawings |
| Section 5 | - | Administration Instructions |
| Section 6 | - | HSE |
| Section 7 | - | Quality Management |

ARTICLE 3 - EFFECTIVE DATE, COMMENCEMENT DATE AND CONTRACT DURATION

CONTRACTOR agrees that time is of the essence and CONTRACTOR shall perform the WORK in conformity with the KEY DATES as specified in Article 4.

The EFFECTIVE DATE (hereinafter is referred to as "ED") is the date of Awarding Letter.

The COMMENCEMENT DATE (CD) will be the date as indicated in the Letter of Award.

Duration of the CONTRACT shall be Seventeen (17) months from CD until the issuance of PROVISIONAL ACCEPTANCE CERTIFICATE when the performance of the WORK is completed (hereinafter referred to as "CONTRACT DURATION"), unless it is earlier terminated by COMPANY in accordance with Article 18 to Section 2 – Terms and Conditions of CONTRACT.

Note 1: COMPANY may suspend the performance of the WORK or parts thereof up to Four (4) months by giving written notice to the CONTRACTOR.

Note 2: Not later than One (1) month from issuance of PROVISIONAL ACCEPTANCE CERTIFICATE, CONTRACTOR shall submit all of its final invoice for the WORK performed under the CONTRACT, any amendment(s) and VARIATION ORDER(s) thereto.

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 3 of 7

ARTICLE 4 - KEY DATES

The following table shows the KEY DATE of the WORK:

No.	Description	Start Date	Duration
1	Wellpad 3 Construction	COMMENCEMENT DATE	305 days
2	Wellpad 8 Construction	Start of Wellpad 3 Construction + 90 days	305 days
3	Wellpad 4 Construction	Start of Wellpad 8 Construction + 105 days	315 days
Total Duration: 510 days			

ARTICLE 5 - CONTRACT PRICE

The ceiling CONTRACT PRICE, inclusive of SSO, any kind of tax charges and as per the GOVERNING LAW and regulations under the CONTRACT, for the performance of entire WORK shall be [in words] (..... [in figures]) Euro gross (excluding Iranian VAT) with the details as provided in Section 3 – Schedule of Rates and Prices.

ARTICLE 6 - GUARANTEES

6.1 Any Bank Guarantees shall be on-demand, irrevocable, unconditional and extendable by the sole request of the COMPANY, shall be on the letterheads of guarantor bank, signed by authorized persons from the guarantor bank, and bearing the stamp of guarantor bank.

The CONTRACTOR shall agree with the COMPANY upon the text of the Bank Guarantee.

6.2 Any Bank Guarantee shall be issued in the CONTRACT currency, however; cash offer is also acceptable. If CONTRACTOR intends to furnish COMPANY with bank guarantee in Iranian Rials, it may be accepted by COMPANY at its own discretion. In case of COMPANY approval, the amount of bank guarantee in CONTRACT currency shall be exchanged to Iranian Rials using the daily available Bid cash exchange rate published at www.sanarate.ir website under the supervision of Central Bank of Iran on the date of issuance of bank guarantee by the respective bank. If for any reason, such day falls on a day where the rate is not available, the rate quoted immediately before such day shall be used.

Note 1: The amount of the PBG shall be recalculated on an annual basis and the PBG shall be renewed in the event of a decrease of the exchange rate of Iranian Rial against currency of the CONTRACT for Ten percent (10%) or more.

If the exchange rate (based on SANA daily bid TT rate) of Iranian Rial against currency of the CONTRACT becomes Ten percent (10%) lower than the exchange rate for Iranian Rials on the first day of the second (2nd) contractual year, the CONTRACTOR shall within Fourteen (14) days reissue the submitted Bank Guarantees based on the new exchange rate.

6.3 PERFORMANCE BANK GUARANTEE (PBG)

6.3.1 With reference to the date indicated in the Letter of Award, CONTRACTOR shall provide Performance Bank Guarantee (PBG) equivalent to Ten percent (10%) of ceiling CONTRACT PRICE. The PBG shall remain valid until issuance by COMPANY of the PROVISIONAL ACCEPTANCE CERTIFICATE of the WORK. Should at any time and for any reason, such PBG

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 4 of 7

prove not to be enforceable, COMPANY may suspend any payments to CONTRACTOR until CONTRACTOR has provided COMPANY with a new and satisfactory PBG.

6.3.2 In case of any amendment to the CONTRACT or issuance of a VARIATION ORDER which leads to any increase in ceiling CONTRACT PRICE, the amount of PBG shall be increased proportionately.

6.3.3 PBG shall be released after issuance of Provisional Acceptance Certificate and submission of FCC whichever comes later.

6.4 GOOD PERFORMANCE GUARANTEE (GPG)

COMPANY shall deduct Five percent (5%) from each CONTRACTOR's invoice(s) as Good Performance Guarantee.

The deduction of this retention money (hereinafter referred to as Retention Money) from each invoice may be waived by COMPANY on submission by CONTRACTOR of a bank guarantee to be acceptable by COMPANY, governed by and interpreted under the laws of Iran, at any time and at sole discretion of COMPANY. Upon issuance of the PROVISIONAL ACCEPTANCE CERTIFICATE for the WORK for which such certificate issued by COMPANY, and submission of original Final Clearance Certificate (FCC) by CONTRACTOR issued by the Iranian Social Security Organization, whichever comes later, Fifty percent (50%) of the Retention Money (or equivalent bank guarantee, as the case maybe) shall be released or paid to CONTRACTOR. The rest of Retention Money shall be released or paid to CONTRACTOR after the date of issuance of FINAL ACCEPTANCE CERTIFICATE.

6.5 GUARANTEE PERIOD

The DEFECTS CORRECTION PERIOD (maybe also referred to as the "Guarantee Period") shall be Twelve (12) months after issuance of PROVISIONAL ACCEPTANCE CERTIFICATE by COMPANY. Upon expiry of this period and with due consideration of the requirements specified in Article 20 of Section 2 - Terms and Conditions of CONTRACT, CONTRACTOR shall request for issuance of FINAL ACCEPTANCE CERTIFICATE.

6.6 CALLING OF GUARANTEES AND RETENTION IN THE EVENT OF TERMINATION

In the event of termination of WORK, in accordance with Articles 18.1(b) or 18.1(c) of Section 2 - Terms and Conditions of CONTRACT, all the respective provisions and COMPANY's right stipulated in Article 18 of Section 2 - Terms and Conditions of CONTRACT shall apply and any costs incurred by the COMPANY as a result of the CONTRACTOR's default or other events giving rise to termination plus 10% of incurred costs as COMPANY extra cost for administration and supervision by whatever method it deems expedient and appropriate, including the use of any other contractors, shall be recoverable from the CONTRACTOR and the COMPANY at its sole discretion, may call the amount of CONTRACTOR's guarantees and retentions including but not limited to Performance Bank Guarantee and Good Performance Guarantee Retention (or equivalent bank guarantee, as the case maybe) as damages sustained.

ARTICLE 7 - SSO DEDUCTION

COMPANY shall deduct Five percent (5%) of each invoice and withhold the last invoice(s) which totally (the deductions and last invoice(s)) shall not be less than Eight percent (8%) of ceiling CONTRACT PRICE as withholding sum of Iranian Social Security Premium.

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 5 of 7

ARTICLE 8 - ADVANCE PAYMENT

Notwithstanding the requirements of Article 22 - Terms of Payment in Section 2 - Terms and Conditions of CONTRACT, the following shall be applicable in case COMPANY agrees for Advance Payment to CONTRACTOR. The CONTRACTOR's request for Advance Payment can be made after EFFECTIVE DATE and prior to submission of the first CONTRACTOR's invoice.

COMPANY may consider paying CONTRACTOR a maximum of Ten percent (10%) of the ceiling CONTRACT PRICE as Advance Payment with the following conditions:

8.1 CONTRACTOR shall submit a bank guarantee equivalent to Ten percent (10%) of the ceiling CONTRACT PRICE amounting to (.....) EURO from an approved bank as Advance Payment Bank Guarantee (APG) not later than Fourteen (14) working days prior to Advance Payment.

Advance payment shall be paid in compliance with the requirements and securities set forth in this Section and Section 3 - Schedule of Rates and Prices.

8.2 COMPANY shall offset and deduct equal percentage of paid Advance Payment from each invoice so that the total amount of Advance Payment shall be amortized before issuance of final invoice. In cases when, it is found out by COMPANY that the paid Advance Payment cannot be amortized before final invoice, the deduction percentage shall be adjusted as per COMPANY sole discretion.

8.3 On the full recovery of the whole amount of Advance Payment, COMPANY shall release the Advance Payment Bank Guarantee to CONTRACTOR. However, CONTRACTOR has choice to replace the bank guarantee by its half value upon COMPANY approval, after the recovery has reached to half of the total Advance Payment taken, however; this shall be done only once during the entire CONTRACT DURATION.

8.4 Advance Payment is not and shall not be construed as a pre-condition for commencing the WORK.

ARTICLE 9 - LIABILITY

In addition to the requirements of Article 27 - LIABILITIES AND INDEMNITIES of Section 2 - Terms and Conditions of CONTRACT the following additional requirements shall apply:

9.1 LIABILITIES FOR COMPANY ITEMS

CONTRACTOR shall examine and inspect ITEMS furnished by COMPANY or SUBCONTRACTORS of COMPANY and if any defects are found therein sufficient to make the use of any such ITEMS unsuitable or unsafe, CONTRACTOR shall immediately notify COMPANY of such defect or defects. Should CONTRACTOR fail to make such examination or fail to report a defect in such ITEM(s) in the event of any damage or failure, CONTRACTOR shall be liable at its own cost and account.

9.2 OVERALL CONDITION

CONTRACTOR shall be obliged to warn COMPANY REPRESENTATIVE if COMPANY gives any instruction to CONTRACTOR that may in the opinion of CONTRACTOR endanger personnel, ITEMS, or the environment, immediately in writing or verbally with witnesses, and confirmed in writing within One (1) hour of the verbal warning. Such warning should clearly state the offending instruction and the justification for warning against the said instruction. In case CONTRACTOR acting in GROSS NEGLIGENCE fails to so warn COMPANY then COMPANY shall be relieved from its obligations to indemnify CONTRACTOR hereunder.

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 6 of 7

9.3 POLLUTION AND CONTAMINATION

Notwithstanding anything to the contrary contained herein, it is agreed that the responsibility and liability for pollution or contamination shall be as follows:

CONTRACTOR shall assume all responsibility and liability for preventing, detecting, minimizing, measuring, controlling and containing, removal and cleaning up, and restoration following pollution or contamination that originates on or above the surface, including but not limited to leaks and spills of fuels, lubricants, greases, motor oils, sewage, chemically treated fluid, base the oils and other base fluids, chemicals and materials, oil emulsions, drilled cuttings, pipe dope, paints, solvents, and garbage in or from the storage or other items of and in the control of CONTRACTOR at or during WORK execution, and shall indemnify and hold harmless COMPANY GROUP from and against all claims, demands and causes of action of every kind and character arising from said pollution or contamination.

If COMPANY receives any penalty from the Iranian authorities due to the failure of CONTRACTOR, the COMPANY has the right to charge the same amount plus from Five (5) to Twenty-Five (25) percent to CONTRACTOR as administration and management fee which shall be deducted from CONTRACTOR's due invoices, payments and guarantees, and if it is not enough, COMPANY has the right to ask the CONTRACTOR to pay to COMPANY as case maybe.

ARTICLE 10 - IRANIAN CONTENT

If CONTRACTOR and/or its SUBCONTRACTORS provide any equipment or MATERIAL which remains in the WORKSITE/WORK, they shall, in compliance with the laws, rules and regulations of Iran, be required to utilization of Iranian content wherever the required MATERIAL(s), equipment, supplies and associated services can be obtained in Iran which are competitive in respect of price, availability and are in all substantive respects of a quality comparable with the quality of goods from outside Iran unless CONTRACTOR is able to show good cause to the satisfaction of COMPANY why such preference should not be given.

The minimum Iranian Content for this CONTRACT to be achieved by CONTRACTOR shall be equivalent to One Hundred percent (100%) of the CONTRACT PRICE including any amendment(s) and VARIATION ORDER(s) thereto.

ARTICLE 11 - INSURANCE

The following additional information is added regarding CONTRACTOR's Insurance obligations:

Article 28.2.a of Section 2: Employers Liability and/or Workmen's Compensation insurance in compliance with GOVERNING LAW for Blood Price plus Ten percent (10%) minimum for medical expenses and Note 1 of article 66 of Social Security Act.

ARTICLE 12 - SECURITIES AT WORKSITE

CONTRACTOR shall provide its own security for its own specific assets in the WORKSITE. For example, its own camp, warehouses, offices or work sites.

In order to have better working relationship, it is important that the security forces/agencies from CONTRACTOR and COMPANY work together. Therefore, prior to mobilisation to WORKSITE, CONTRACTOR shall agree with the COMPANY about its plan / strategy to secure MATERIALS, COMPANY ITEMS, its own assets and interfaces with the COMPANY.

ARTICLE 13 - COMMUNICATION

The language for all communications between the PARTIES shall be English. All notices, correspondences and communications from one PARTY to the other in connection with this

	Development and Production Operations Service CONTRACT for Sohrab Oil Field Wellpad Construction (3,4,8) Tender No.: SO-004-00082-03	 DanaEnergy
Rev. 00	Document No.: SO-082-DTE-LGN-BD-CFT-0001	Page 7 of 7

CONTRACT shall be in writing. COMPANY address for written communications purposes is Tehran office as stipulated at the beginning of this CONTRACT. Upon EFFECTIVE DATE, full name and contact details for COMPANY and CONTRACTOR REPRESENTATIVES shall be officially introduced between the PARTIES in accordance with the requirements indicated in Section 2 - Terms and Conditions of CONTRACT.

IN WITNESS WHEREOF, the PARTIES have executed this CONTRACT in duplicate:

For and on behalf of COMPANY

For and on behalf of CONTRACTOR

By:

By:

(Signature)

(Signature)

Mr. Mehdi Mansoori Habibabadi

Mr.

Managing Director

Job Title

.....
(Signature)

Mr. Seyed Mohsen Mousavi

Mr.....

Vice Chairman of the Board

Job Title